

different emotional mistakes. So, imposing trading book rules on me is a terrible misfit.

That is why your books are important. All the traders you write about have a method that is personal and fits them. You learn from everyone around you, but you have to do what makes sense for you, even if it's the opposite of what makes sense for other people.

### **So you don't use stops?**

No. I do. I just set them wide enough. In those early days, I wasn't setting stops at levels that made sense based on the underlying hypothesis for the trade; I was setting stops based on my pain threshold, and the market doesn't care about your pain. I learned from that mistake. When I get out of a trade now, it is because I was wrong. I'm thinking, "Hmm, that shouldn't have happened. Prices are inconsistent with my hypothesis. I'm wrong. I need to get out and rethink the situation." In my first trade, prices were never inconsistent with my hypothesis.

### **What are some other mistakes you have learned from?**

I don't have any great example of a mistake that cost me a material amount of money because I have very tight risk discipline on the downside. Stopping yourself from losing money is quite easy. I've never really had that problem. I'd say that most of my big errors have been opportunity errors. I sometimes believe in something so strongly that it acts as a constraint on doing trades that could be very profitable. For example, in late 2010, my underlying belief that the European sovereign debt crisis was a really big problem made it hard for me to participate in a sentiment and liquidity driven bull market. I failed to take part in the biggest macro theme of the year. From September on, equities were up a lot, and commodities were up a lot. It was a massive opportunity that I should have been in, and I wasn't. I missed the key point that no one else cared, and as long as no one cares, there is no crisis. It's the same reason I didn't make any money in the Nasdaq bubble. I thought, "I can't buy [Pets.com](http://Pets.com)."

**But actually you can't make money in the Nasdaq bubble by definition.**